

a New York-based retail consulting firm, in a *Baltimore Sun* article. “You have tens of millions of people whose whole driver of shopping is coupons. It’s not just something you can take away.”

Some companies have to learn their lesson the hard way. Take J. C. Penney, for instance. According to *Bloomberg Businessweek*, former Apple Store Chief Ron Johnson planned to wean J. C. Penney’s customers from their diet of coupons when he took over as CEO in 2011. Instead, he immediately discontinued coupons and replaced J. C. Penney’s high prices with lower, everyday prices, their “Fair and Square” pricing plan. The department store chain lost 163 million dollars in the first three months of his plan, and the number of people coming into J. C. Penney’s dropped by 10 percent.

“What is the source of this?” asked Mike Kramer, J. C. Penney’s Chief operating officer in 2012. “Coupons, that drug. We did not realize how deep some of the customers were into this. We have got to wean them off this and educate our customers.”

“I thought people were just tired of coupons,” J. C. Penney’s CEO Ron Johnson said in a *Businessweek* interview. “The reality is, there were a certain part of the customers that loved it. I didn’t understand that.”

Despite the company’s revenue dropping 20 percent in the first quarter after introducing the “Fair and Square Pricing Plan,” Johnson vowed that their stores wouldn’t be reinstating coupons anytime soon. There was hope and hype among avid couponers when a “\$10 off” coupon was issued to e-mail subscribers in October of 2012, which Johnson insisted on calling a “gift.” By the end of 2012, the department store retailer had lost 4.3 billion